

Mortgage Payoff Checklist

A paid off home can give you more breathing room. Getting there should still leave money for everyday life, repairs, and your future. Use this checklist to choose a plan you can afford and understand what you give up.

1 Biweekly payments

Pay half your monthly principal and interest every two weeks. In a typical year, 26 half payments equal 13 full payments. Keep taxes and insurance funded as required by your servicer.

Pros: Can fit a biweekly paycheck and adds one extra payment each year.

Cons: Some programs charge fees or hold partial payments. Paying twice a month only creates 24 half payments and does not add an extra payment.

☐ **Before you start:** Confirm how partial payments are held and when the extra money reaches principal. Do not change your schedule until the servicer confirms you will stay current.

2 One extra payment a year

Divide your monthly principal and interest payment by 12. Add that amount to principal each month. A \$1,800 payment means an extra \$150 each month.

Pros: Easy to automate without enrolling in a biweekly program.

Cons: You still need room in your budget. A payment made at year end saves less interest than the same money paid earlier.

☐ **Before you start:** Choose this or biweekly payments as your base plan. Do not count the same extra annual payment twice.

3 Extra principal every month

Pick an amount you can keep paying, whether that is \$100, \$250, or \$500. Send it with your regular payment using the principal option.

Pros: Reduces the balance earlier and usually lets you pause the extra amount when life gets expensive.

Cons: The cash becomes home equity. You generally need to sell or qualify for new borrowing to access it again.

☐ **Before you start:** Check the next statement to confirm the extra amount reduced principal rather than simply advancing a due date.

Make room in your budget

Use extra income carefully and keep enough cash for the rest of your life.

4 Round up your payment

If your total payment is \$1,865, pay \$2,000 and direct the extra \$135 to principal.

Pros: Simple to remember and easy to start with a small amount.

Cons: The effect may be modest. Escrow increases can shrink the extra amount if you keep paying the same total.

- ☐ **Before you start:** Review the principal amount whenever taxes or insurance change your required payment.

5 Use part of a windfall

Choose a share of bonuses, tax refunds, or other unexpected money for principal after setting aside taxes and near term needs.

Pros: Makes progress without raising your regular monthly commitment.

Cons: Windfalls are unpredictable. Sending the whole amount can leave you short when a repair or other expense comes up.

- ☐ **Before you start:** Write down your percentage before the money arrives. Keep enough cash for bills, repairs, and emergencies.

6 Put part of each raise toward principal

When your take home pay increases, send part of the increase to the mortgage. For example, put \$150 of a \$300 monthly raise toward principal.

Pros: Builds a larger payment gradually without cutting your current spending by the full amount.

Cons: Other costs may rise too. Using every raise for the mortgage can crowd out retirement savings and other goals.

- ☐ **Before you start:** Choose the amount after checking your new take home pay and updated household costs.

Compare the loan options

Changing a payment schedule and changing a loan are different decisions.

7 Pay on a shorter schedule

Use your current balance and interest rate to calculate the payment needed to finish in 15 or 20 years. Pay the difference as extra principal.

Pros: Keeps your existing loan and its lower required payment. No refinance is needed to pay faster.

Cons: You keep your existing interest rate and need discipline. The faster schedule can require a large monthly increase.

☐ **Before you start:** Use the years remaining from today, not the original loan amount. Add escrow and other housing costs to your budget separately.

8 Refinance when the numbers work

Compare your current loan with written refinance offers. Include closing costs, any costs added to the balance, interest, and the payoff date.

Pros: A better rate or shorter term can reduce future interest.

Cons: Fees can erase savings. Restarting a 30 year term can extend the debt, and a shorter term can raise your required payment.

☐ **Before you start:** Compare both loans over the same time horizon. Check the balance at your expected move date. A lower payment alone does not prove savings.

9 Understand a mortgage recast

After a substantial principal payment, an eligible lender may recalculate your payment using the lower balance and remaining term. The rate stays the same.

Pros: Can lower your required payment while keeping your existing rate.

Cons: May require a fee and minimum lump sum. Not all loans qualify. Paying only the new minimum keeps the remaining schedule instead of accelerating payoff.

☐ **Before you start:** Ask about eligibility, minimum payment, and fees. If faster payoff is the goal, see whether you can keep paying the old amount.

Choose your plan

Check the tradeoffs before you commit more cash to the house.

10 Be skeptical of HELOC payoff pitches

A HELOC moves debt into a line of credit secured by your home. Compare it with sending the same extra cash directly to your mortgage.

Pros: A truly lower borrowing cost could help in a specific case, and a credit line may offer flexibility.

Cons: Rates usually vary. Fees, repeated borrowing, and a higher rate can wipe out savings. Your home secures the debt and missed payments can put it at risk.

☐ **Before you start:** Require a written comparison using identical cash contributions, all fees, and higher rate scenarios. Deposits spent again are not lasting debt reduction.

11 Know when extra payments should wait

Before paying extra, review emergency savings, expensive debt, employer retirement matches, and upcoming expenses.

Pros: Keeps cash available and may let you address a more expensive problem first.

Cons: Your mortgage stays around longer and you may pay more mortgage interest. Keeping cash only helps if you use it deliberately.

☐ **Before you start:** Set a cash reserve target. Compare debt rates and retirement benefits. Do not assume investing will always beat the mortgage.

12 Choose a plan you can keep doing

Pick one regular payment method and an optional windfall rule. Revisit the plan when income, expenses, or priorities change.

Pros: Makes progress easier to track and keeps the payment realistic.

Cons: A smaller payment may mean a later payoff than you hoped. Automation still needs occasional review.

☐ **Before you start:** Write down your amount, start date, and review date. Avoid counting roundups or biweekly payments again if they are already part of your extra payment.

What extra payments can do

Example only. \$300,000 balance, 6% fixed interest, and 30 years remaining.

The required principal and interest payment is \$1,798.65. These estimates assume extra principal is paid every month starting with the next payment. Taxes, insurance, mortgage insurance, fees, and tax effects are excluded.

Extra each month	Monthly P and I	Paid off in	Total interest	Interest saved
\$0	\$1,798.65	30 years	\$347,515	\$0
\$100	\$1,898.65	26 years 1 month	\$294,168	\$53,346
\$250	\$2,048.65	22 years 1 month	\$241,158	\$106,357
\$500	\$2,298.65	17 years 8 months	\$187,220	\$160,295

Calculated with monthly amortization and a smaller final payment. Figures are rounded. Your servicer's timing and loan terms can change the result.

Before I send extra money

- ☐ I know my balance, rate, remaining term, and required payment.
- ☐ I have separated principal and interest from taxes and insurance.
- ☐ I have cash set aside for emergencies and known expenses.
- ☐ I have reviewed expensive debt and my employer retirement match.
- ☐ I checked my loan terms for any prepayment penalty.
- ☐ My servicer confirmed how to send extra money to principal.
- ☐ I chose one base strategy and avoided counting the same money twice.
- ☐ I will check my next statement and review the plan when my budget changes.

My mortgage payoff plan

Fill this out before you change your payments.

Current balance \$_____ Interest rate _____

Years remaining _____ Monthly principal and interest \$_____

Cash reserve target \$_____ Extra principal each month \$_____

My base strategy _____

Share of windfalls I will use _____%

Start date _____ Review date _____

My rule: If paying extra means borrowing for ordinary bills or skipping necessary savings, I will lower or pause the extra amount.

Even after the mortgage is paid off, property taxes, insurance, maintenance, and any HOA dues continue.

Sources and calculation notes

[CFPB mortgage servicing and extra principal](#)

[CFPB prepayment penalties](#)

[Chase mortgage recasting](#)

[CFPB home equity lines of credit](#)

Source links checked October 8, 2026. Payment examples are independent calculations. Loan eligibility and payment handling depend on your lender and servicer.

Educational information only. This checklist does not tell you whether mortgage payoff, saving, or investing is the best choice for your household.